

Rugby For Good Business Case Report

Cost Benefit Analysis

Prepared by Balmoral Group Australia for

The NSW Positive Rugby Foundation

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Balmoral Group of Australia is located in Sydney and Brisbane. Sydney is where the head office of Balmoral Group Australia resides. It is the traditional home of the Gadigal Aboriginal people of the Eora Nation. Brisbane was founded upon the homelands of the Turrbal and Yuggera peoples, whose Country stretches north from Elimbah Creek, south to the Logan River and inland as far as Moggill. The authors acknowledge the Traditional Owners of Country throughout Australia and recognise their continuing connection to land, waters and culture. We pay our respects to their Elders, past and present.

KEY PROPOSAL DETAILS

PROPOSAL INFORMATION	
Proposal name	Rugby For Good Cost Benefit Analysis_ Updated report
Lead proponent (e.g. Council)	NSW Positive Rugby Foundation
Lead proponent ABN	
Proposal partners	
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PROPOSAL SCOPE	
Proposal summary for publication *Please provide 150 words or less*	The NSW Positive Rugby Foundation is improving outcomes through their *Rugby For Good* programs which aim to improve the health and well-being of communities through rugby. It analyses the benefits of current programs to justify investment in the programs.
PROPOSAL LOCATION	
Proposal address	
Local government area	
NSW electorate	
Federal electorate	
SUPPORTING INFORMATION	
Attachments *Please list out all supporting information provided*	

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1 EXECUTIVE SUMMARY

NSW Positive Rugby Foundation, through its *Rugby For Good* program, is delivering economic and social outcomes while driving rugby's growth across New South Wales. *Rugby For Good* distinguishes itself from the traditional rugby funding model, which historically relied primarily on funding from Rugby Australia, registration fees, and event revenues. *Rugby For Good* is an overarching initiative designed to develop the sport through a variety of programs, creating both financial and social benefits.

The introduction of the new funding streams has generated an additional $3.4 million[1] over three years, effectively doubling the size of the rugby contribution to the economy in NSW. This expanded funding base enables the delivery of programs that address critical social issues while fostering community engagement, life skills development and promoting meaningful social change.

The initiative covers a wide geography, including regional and disadvantaged areas. Programs are delivered through a "Hub and Spoke" model, where *Rugby For Good* hubs are established in key locations to serve surrounding areas efficiently, ensuring that regional communities receive adequate support.

NSW Positive Rugby Foundation retained Balmoral Group Australia to conduct a Cost-Benefit Analysis (CBA) of three key programs and prepare a Business Case to document the programmatic investment outcomes in *Rugby For Good*. The CBA for the Tackle Life, Holiday Break Camps, and Start Talking & Get Talkin' programs found that benefits exceeded costs in each case, with Benefit-Cost Ratios (BCR) of 5.78, 3.14, and 3.63 for an average of 1,686 (562 high school and 1,124 primary school students), 1,880, and 702 participants annually, respectively (see Table 1).

Table 1. Cost Benefit Analysis Results: PV at 5 per cent discount rate, over 20 years

Costs	Tackle Life	Holiday Break	Get Talkin'
Total Grant Funding costs	$4,792,966	$5,290,208	$1,869,332
Benefits			
Improved physical health	$3,404,596	$59,785	-
Improved mental health	$14,454,707	$16,117,941	$5,880,082
Avoided healthcare costs	$3,501,796	-	-
Reduced suicidal tendencies	-	-	$904,269
Reduced crime rate	$794,069	-	-
Enhanced Employability	$1,227,827	$409,276	-
Avoided fiscal costs due to higher graduation rates (High school + primary students)	$4,319,221	-	-
Benefit Total	$27,702,215	$16,587,001	$6,784,351
Net Benefit	$22,909,249	$11,296,793	$4,915,019
Benefit-Cost Ratio (BCR)	*5.78*	*3.14*	*3.63*

[1] NSW Positive Rugby Foundation 2024

Figure 1 summarises the expected outcomes of the programs, which offer various benefits to stakeholders, from personal development to broader community advantages.

Beyond increasing rugby participation, *Rugby For Good* aligns with NSW Positive Rugby Foundation's strategic goals, including community engagement, development pathways, and sustainable funding. The analysis herein finds that social, community and economic benefits well exceed costs. Continued and expanded investment is anticipated to deliver similar positive results. This assessment supports robust and continued investment in *Rugby For Good* programs.

Figure 1. Expected Outcomes from *Rugby For Good*



Source: BGA Work Product

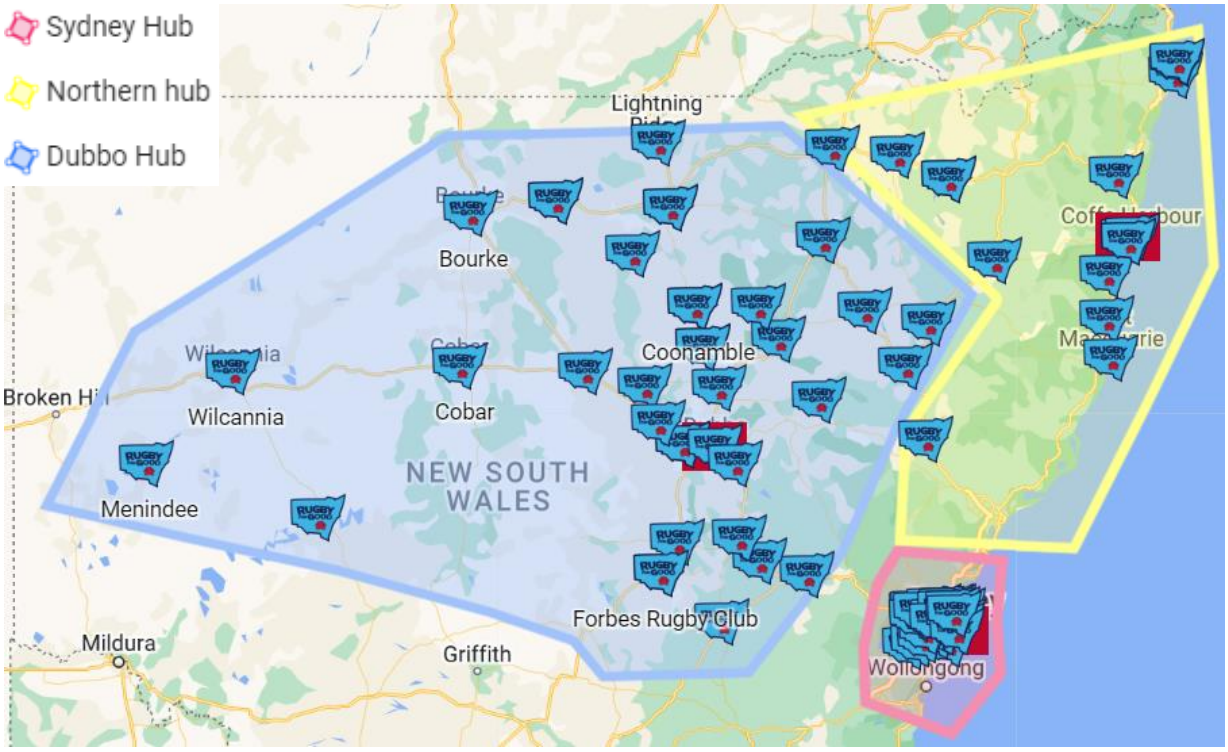
CASE FOR CHANGE

1.1 BACKGROUND

NSW Positive Rugby Foundation promotes the *Rugby For Good* program to support the growth and advancement of rugby across the state. Rugby is a way of life that creates change, empowers individuals and brings communities together. *Rugby For Good* distinguishes itself from the traditional rugby funding model in that it supports the growth of the game of rugby by delivering programs that deliver critical social outcomes. *Rugby For Good* is an overarching initiative designed to develop the sport through various programs, creating economic and social benefits to communities in NSW.

The initiative covers a broad geography, including regional and disadvantaged areas. Programs are delivered through a "Hub and Spoke" model, where *Rugby For Good* hubs are established in key locations to serve surrounding areas efficiently. As shown in Figure 2, the hubs include NSW HQ (Sydney), Dubbo Hub and Northern Hub (Coffs Harbour).

Figure 2. *Rugby For Good* Hubs in NSW



Source: NSW Positive Rugby Foundation

The *Rugby For Good* program opened up new and diversified funding sources incorporating donations, corporate partnerships and external grants. The introduction of the new funding streams has generated an additional $3.4 million[2] over three years, effectively doubling the size of the rugby contribution to the NSW economy. These new funding sources enable the programs to address critical social issues while fostering community engagement, life skills development and promoting meaningful social change.

[2] NSW Positive Rugby Foundation 2024

The NSW Positive Rugby Foundation has experienced success with programs targeting social and community benefits. *Rugby For Good* is designed to strengthen this impact, empowering individuals, uniting communities, and driving social progress. Rugby serves as a vehicle for positive change, creating opportunities for personal empowerment and community cohesion. Rugby competition events also have a significant economic impact through both direct and indirect event-related expenditures.[3] This report outlines the benefits of current and future *Rugby For Good* programs, providing evidence of their success and aligning with the NSW Positive Rugby Foundation's goal of creating a diverse and sustainable funding model.[4]

This Business Case evaluates *Rugby For Good*'s growth plans, aiming to strengthen donor relations and enhance the NSW Positive Rugby Foundation's funding received from the government. The assessment includes a Cost-Benefit Analysis (CBA) of three key programs - Rugby Tackle Life, Holiday Break Camps, and Mental Health-Start Talking & Get Talking. These programs provide various benefits to stakeholders, from personal development to broader community advantages. In addition to increasing rugby participation, the initiative aligns with the NSW Positive Rugby Foundation's strategic goals, including community engagement, development pathways, and sustainable funding.

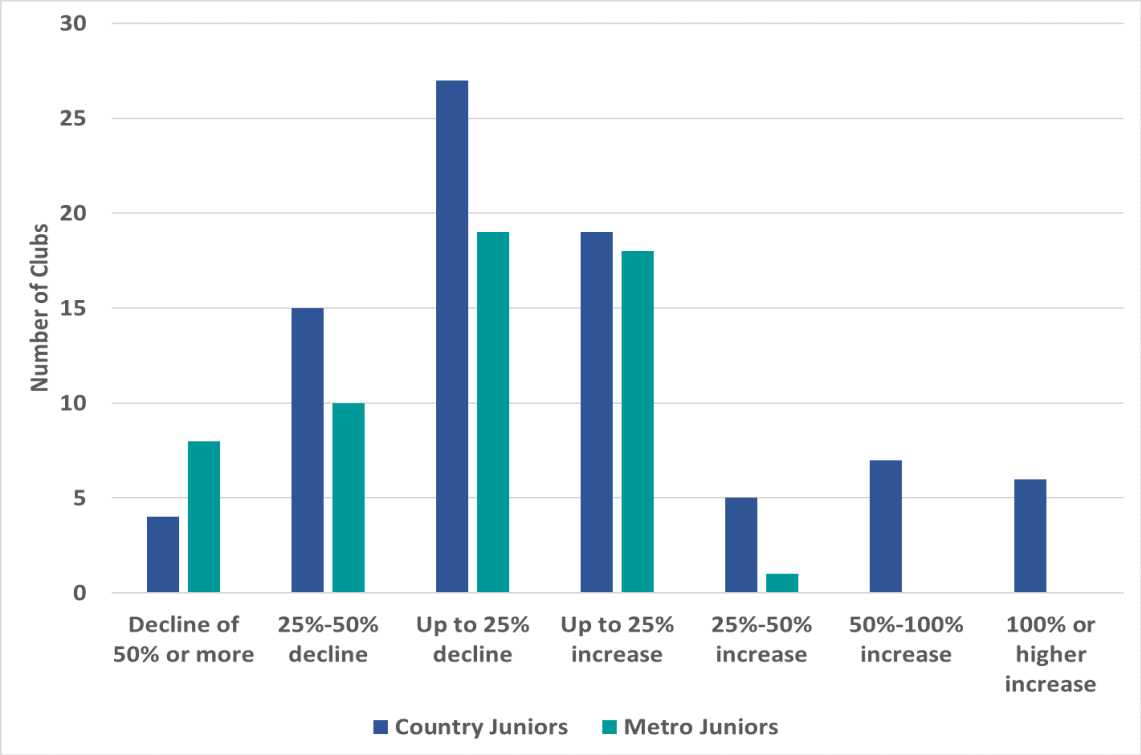
1.2 RATIONALE FOR INVESTMENT

Increasing Participation levels

Investing in *Rugby For Good* offers a strong economic case that delivers significant social and community benefits while providing more sustainable funding models and contributing to local economies. Traditionally, the financial model of rugby in NSW has relied on limited sources, such as grants from Rugby Australia, registration fees, and event-driven revenues. This dependency has coincided with a decline in participation rates, highlighting the need for a more sustainable funding strategy. For instance, in 2024, junior club participation across both country and metro areas in NSW dropped from 22,610 to 20,462, representing a 9.5% decrease compared to 2023, which itself saw a 1% decline from 2022. The volatility in participation rates, particularly in youth programs, indicates an urgent need for investment to reverse these trends, as demonstrated in Figure 3.

[3] Australia to host Rugby World Cup 2027 and 2029 (2022) Rugby Australia
[4] NSW Positive Rugby Foundation 2024

Figure 3. Country and Metro Juniors Participation Change 2023-24



Source: BGA Work Product based on NSW Positive Rugby Foundation data

The *Rugby for Good* programs teaches life skills, including self-discipline and responsibility, which improve employability and education outcomes. Program participants' pre- and post-program participation survey responses showed increased resilience (20%) and confidence (27%).[5] This was based on the University of New South Wales' evaluation of programs across 22 schools, which showed improvements across psycho-social measures. Rugby allows people to live more prosperous and fulfilling lives through improved skills, a sense of belonging, and activities.

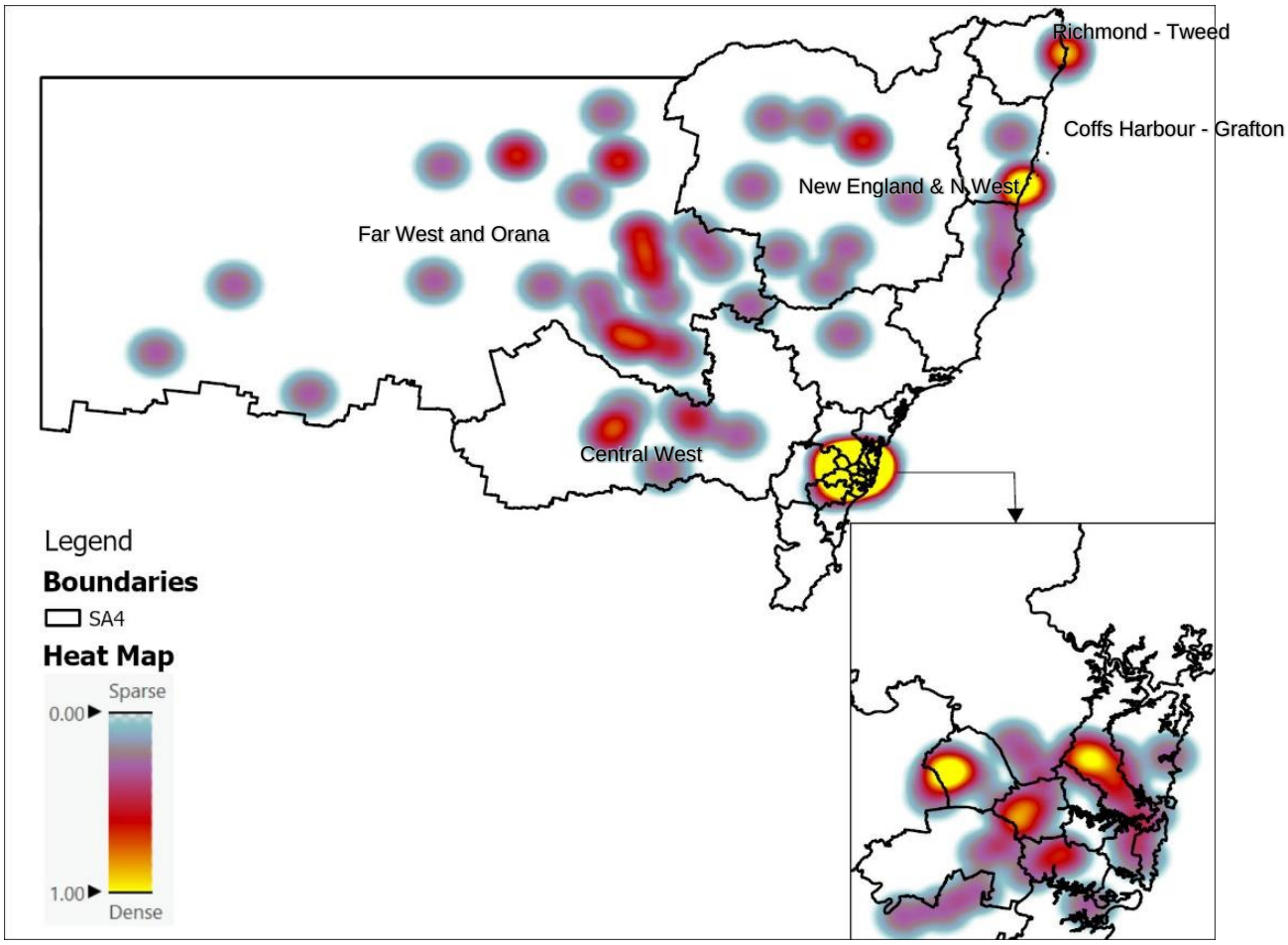
Broader community impacts

The positive impacts of the *Rugby For Good* programs extend beyond individual participants to entire communities. With 93,000 players and a growing number of teams, the proposed funding model focuses on harnessing rugby's capacity to generate broader economic impacts[6]. These include direct spending on goods and services and job creation linked to rugby events and programs, offering a tangible return on investment for local businesses and the wider community. These programs' geographic scope and influence are depicted in Figure 4Error! Reference source not found., a heat map of *Rugby For Good* locations across NSW. As expected, the Greater Sydney area has a higher density of programs in NSW. Further in the northeast, the Coffs Harbour – Grafton and Richmond – Tweed SA4s have a higher density of programs. In the Far West and Orana, the higher concentration of programs is around the Dubbo, Narromine and Coonamble LGAs, while in the Central West SA4

[5] NSW Positive Rugby Foundation Creating Chances Impact Report 2021
[6] NSW Positive Rugby Foundation Participation Data 2023

they are around the Forbes and Parkes LGAs. These underscore the far-reaching benefits of *Rugby For Good*.

Figure 4. *Rugby For Good* Heat Map in NSW



Source: BGA Work Product based on NSW Rugby data

In addition to economic contributions, *Rugby For Good* programs deliver social benefits in areas such as health, crime prevention, and community engagement, which can positively impact communities. The programs have a diverse focus on key areas, including:

1. Mental Health Suicide Prevention and Wellbeing
2. At Risk and Disadvantaged Youth
3. Aboriginal Employment
4. Regional and Remote access to programs and sport

The key focus areas of the programs emphasise the initiative's broad social contributions, which extend beyond economic growth. The programs not only encourage rugby participation but also aim to target critical societal issues such as health improvement, crime prevention, and youth engagement.

The *Rugby for Good* programs provides a structured environment to address physical and mental health challenges, particularly for at-risk youth. For example, holiday break camps specifically designed for disadvantaged youth offer constructive, community-based activities. These camps have

been shown to help reduce local crime rates and improve health outcomes, contributing to significant long-term cost savings for public sectors such as healthcare and law enforcement.

Additionally, these programs build life skills, foster community cohesion, and promote social inclusion, ultimately reducing the strain on social welfare systems. The multi-faceted focus of these programs ensures that while rugby is the vehicle, the benefits extend well into broader community development, creating a lasting impact on public service expenditures and societal well-being. For instance, prior estimates indicated a return of $5.26 for every dollar spent across the programs.[7]

Health

The Mental health programs within *Rugby For Good* deliver strong economic benefits by addressing the substantial costs associated with poor mental health, such as increased healthcare expenditures, lost productivity, and reduced workforce participation. In disadvantaged communities, studies indicate that high rates of crime and youth disengagement can be mitigated through programs offering constructive activities, like the holiday camps organised by *Rugby For Good*[8]. These camps improve mental health outcomes, foster stronger community connections, and help reduce negative behaviours linked to lack of engagement and boredom.[9]

Through year-round programs and school holiday activities, *Rugby For Good* provides youth with meaningful, engaging experiences that promote better physical and mental health, build community connections, and prepare them for life after graduation. Poor mental health places a significant financial burden on communities; however, initiatives such as mental health workshops and support services under *Rugby For Good* increase awareness and provide essential support for improved outcomes.[10] These efforts contribute to healthier communities and a more productive workforce, ultimately reducing long-term healthcare costs.[11]

Investing in rugby also contributes to physical health improvements. NSW faces challenges in promoting physical activity and fitness, which are key to improving quality of life and reducing healthcare costs.[12] *Rugby For Good* promotes fitness through structured sessions in a team environment, encouraging regular physical activity.[13] The physical benefits gained through rugby (such as improved cardiovascular health, strength, and mental resilience) reduce the risk of chronic diseases and mortality. With physical inactivity being a leading cause of chronic diseases and higher mortality rates, the economic benefits of promoting sport through *Rugby For Good* are considerable, particularly in reducing future healthcare costs and increasing overall productivity.

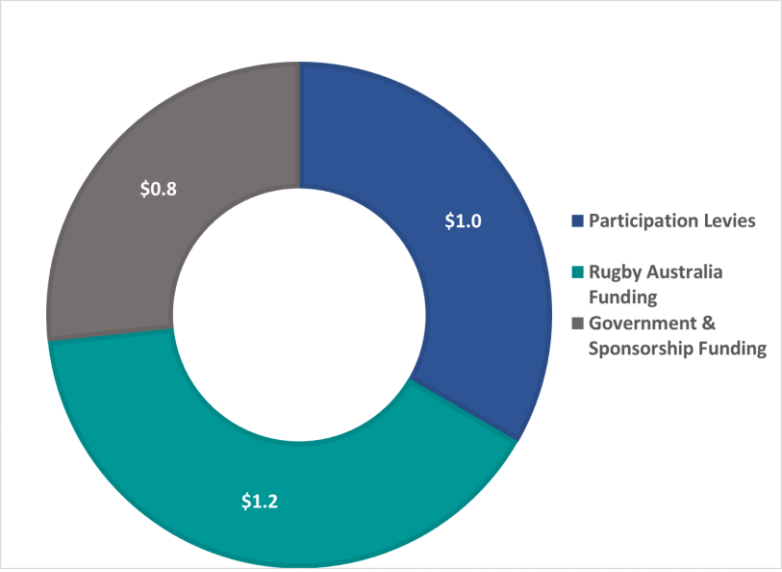
[7] Impact Report UNSW page
[8] N Malizia. 2018.
[9] Ibid.
[10] Productivity Commission. 2020. Mental health Inquiry Report.
[11] Eaton & Hunt, A., 2024 Does Willingness to Pay Differ for Mental and Physical Health?
[12] AIHW. 2024 Physical Activity
[13] Malm 2019.

Limited Funding

Historically, traditional funding sources have constrained rugby participation funding. Figure 5 shows the primary funding streams comprising traditional Rugby funding sources.[14]

The funding streams have remained stagnant for over two decades, coinciding with minimal growth in rugby participation. Traditional funding mechanisms alone lack the capacity to grow the sport and substantially promote its wider societal benefits.[15]

Figure 5. Primary Funding Streams (in millions)



Source: BGA Work Product based on NSW Positive Rugby Foundation data.

The scale of *Rugby For Good*'s impact could be expanded, enhancing rugby participation through additional funding of new initiatives and further supporting workforce expansion. This model breaks the constraints of traditional funding, opening new investment avenues and creating a positive feedback loop where *Rugby For Good is Good For Rugby* and the community at large.

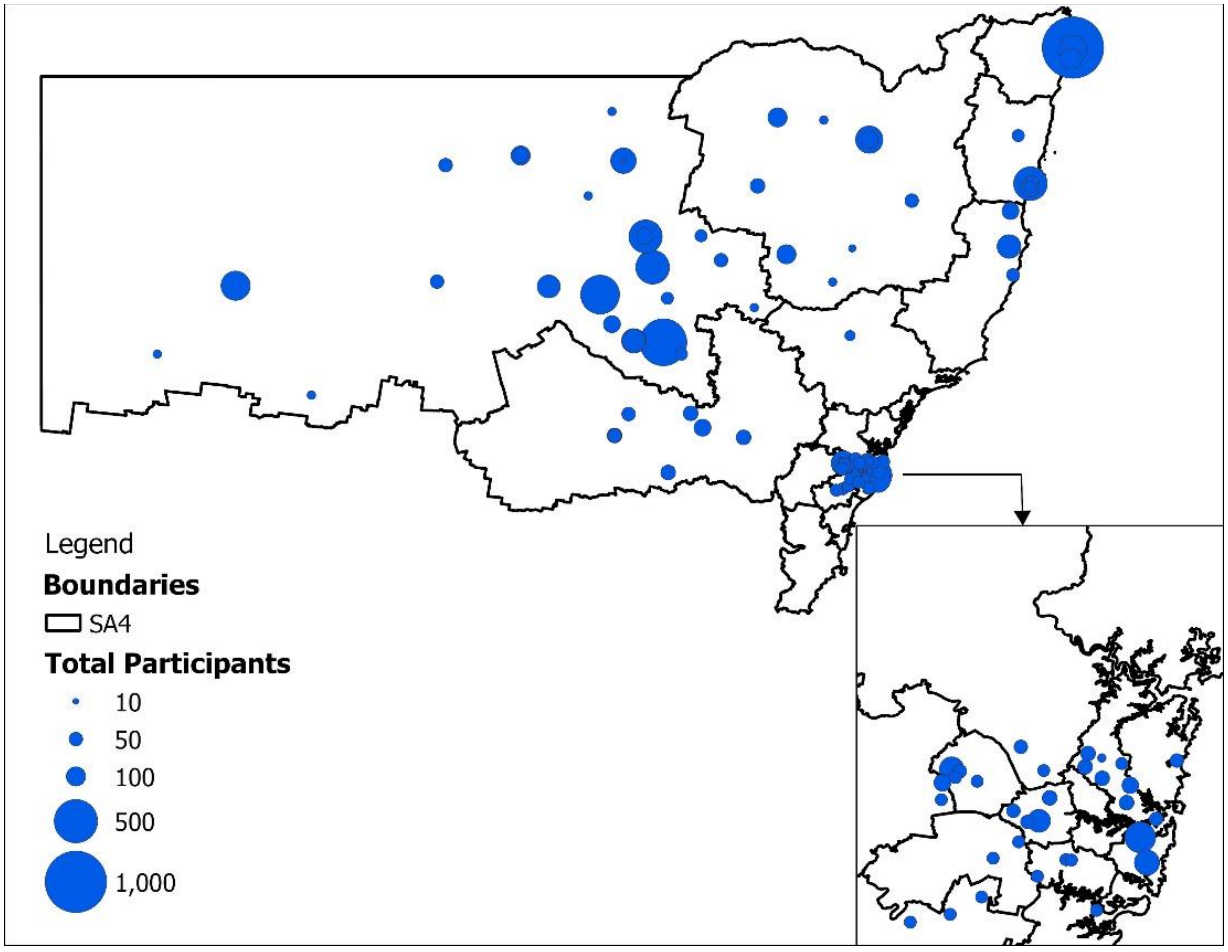
Socioeconomic and Geographic Barriers

Remote communities in NSW face substantial barriers to sports participation, primarily due to their distance from facilities and clubs.[16] *Rugby For Good* addresses these challenges through a hub-and-spoke delivery model, which brings localised services to these areas, reducing financial barriers and making programs more accessible (Figure 6). This approach not only encourages greater participation in rugby but also helps tackle other social issues, such as low school attendance. Research from the 2023 *Rugby Tackle Life* report indicated a 10% improvement in participants' optimism and sense of belonging, directly linked to their involvement in the program. By increasing school attendance and engagement in disadvantaged areas, the programs contribute to better educational outcomes, enhancing future workforce participation. This builds a more educated and engaged future workforce, ultimately boosting economic growth.[17]

[14] NSW Positive Rugby Foundation 2024
[15] Ibid.
[16] May et al.2020
[17] Owen et al 2024

The investment in *Rugby For Good* is expected to deliver positive economic returns. It stimulates local economies, reduces public spending on social issues, and creates a healthier, more productive society. The diversification of funding sources and the broad range of economic and social benefits make this investment a strategic choice for driving the long-term growth of rugby while delivering meaningful value to the broader community.

Figure 6. *Rugby For Good* Total Participants by Location



Source: BGA Work Product based on NSW Positive Rugby Foundation data

1.3 STAKEHOLDER & COMMUNITY SUPPORT

The *Rugby For Good* programs rely on the support of key stakeholders, including coaches, program participants, clubs, schools, and the broader community. Program participants are anticipated to benefit directly from these initiatives and are likely to offer valuable feedback based on their experiences. Clubs stand to gain from increased engagement, enhanced promotion of the sport, and positive gameplay outcomes.

Effective communication with clubs and schools will be essential to gathering insights for refining the program's design, scope, and geographic reach. Engaging stakeholders ensures that the perspectives on program outcomes and investment impact are inclusive, helping to further shape and improve the programs' successes.

NSW Positive Rugby Foundation will engage in community consultations to incorporate stakeholder feedback, which will be critical to identifying program strengths and areas for growth. This approach ensures the programs continuously adapt to meet the evolving needs of participants and the wider community.

1.4 EXPECTED OUTCOMES

The *Rugby For Good* expected outcomes are shown as a snapshot in Figure 7.

Figure 7: *Rugby For Good* Expected Outcomes



Source: BGA Work Product based on NSW Positive Rugby Foundation data

2 ANALYSIS OF PROPOSAL

2.1 OBJECTIVES & INDICATORS

Table 2 summarises the issues targeted by the *Rugby For Good* programs as well as the objectives and indicators.

Table 2. Proposal Objectives

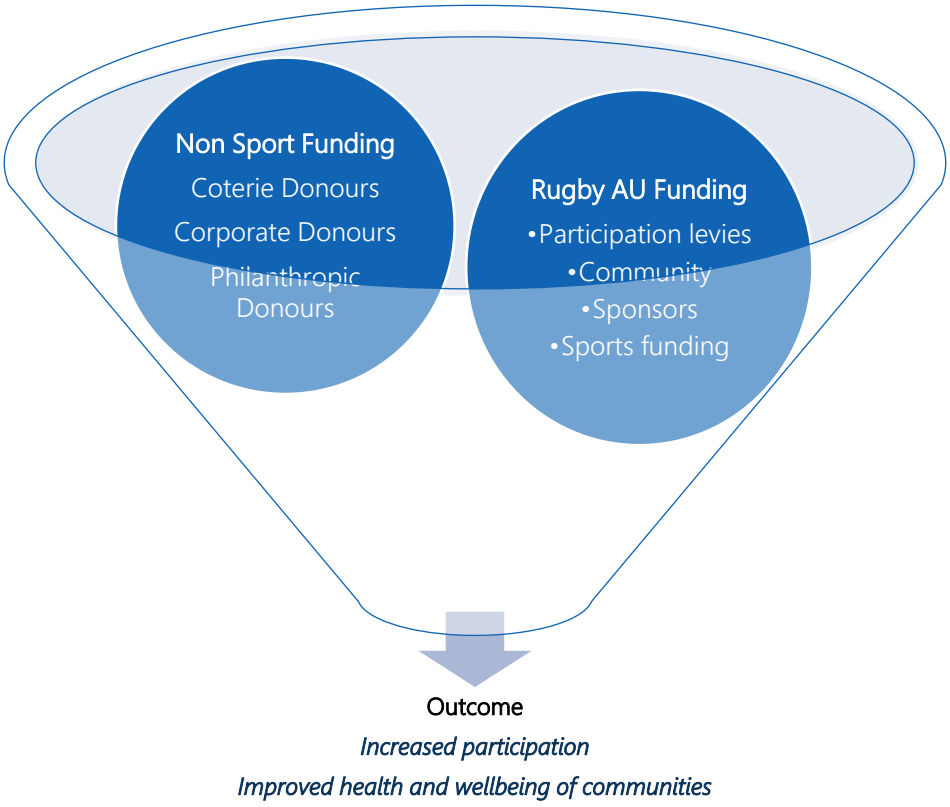
Key problem/issue	Key proposal objective	Key success indicator
Poor physical health	To achieve improved physical health through playing rugby and programs.	Number of participants participating in programs involving physical activities.
Poor mental health	Improved mental health outcomes of individuals participating in the *Rugby For Good* programs	Number of participants who attend mental healthcare works, reduced suicide rates and reduced depression or anxiety.
Unemployment / low employment	Offers increased employment outcomes for individuals, especially in disadvantaged groups who participate in programs	Increased employment of individuals who participate.
Stagnant participation growth	Aims to increase participation in rugby through increased retention of existing players and attraction of new players.	Increase in participation numbers and retention of existing players.
Crime and reoffending in the community	Aims to reduce crime and reoffending by providing meaningful activities.	Reduced crime rates and safer communities.
Poor quality of life	Improve the quality of life of individuals who participate in the sport.	Improved quality of life of participants.
Lack of community ties	To improve the connections of clubs to community and community engagement.	Increase in the number of events the community can participate.
Unsustainability of rugby clubs	Improve the sustainability of rugby clubs	Increased sustainability of rugby clubs.
Lack of Rugby Development Workforce	Generation of sustainable funding model for *Rugby For Good* Employment	Increased number of NSW Rugby Development Staff

Source: BGA Work Product

2.2 THE RUGBY FOR GOOD FUNDING SOURCES

Rugby For Good is creating additional funding streams and using the sport as a tool for social change. This is a change from the previous model, which relied heavily on player registration fees, sponsorship, and funding from the governing body and sports offices. *Rugby For Good* focuses on expanding the sport's reach beyond competition and engagement with fans and taps into the community, addressing social and societal issues using rugby as a vehicle to improve people's lives. Figure 8 shows the economic model of the *Rugby For Good* program.

Figure 8: *Rugby For Good* Economic Model



Source: BGA Work Product

2.2.1 Funding Framework

The *Rugby For Good* model taps into diverse, non-traditional funding sources to address broader societal challenges, using rugby as a conduit for change. Table 3 expands on the model's key components and funding sources.

Table 3. *Rugby For Good* Funding Components

Component	Description
Coterie Model	Membership-based model that generates recurring donations from supporters, contributing approximately $500,000 annually.
Corporate Partnerships & Philanthropic Donations	Donations from trusts, foundations, and other entities contribute approximately $240,000 each year. Additionally, this can include collaborations with businesses that support or give pro-bono advice for community-focused rugby programs.

Government Grants	Funding from non-sports departments like Health, Multicultural Affairs, Youth Development, and Regional Support, bringing in around $2.5 million annually. This is a key departure from traditional sports funding, supporting health, education, and community initiatives.
Events	Community and fundraising events that generate approximately $120,000 annually.

Source: NSW Positive Rugby Foundation data

2.2.2 Key Economic Drivers

Competition players have significant impacts on the rugby economy. The Waratahs are funded by Rugby Australia and Wallabies revenue. Each club player contributes over $900 to the Rugby economy every year, with over $300 going directly into areas such as club membership, merchandise and tickets for Super Rugby and Wallabies matches. Every player in a Rugby Seven format[18] generates $300 a year, with $100 directly into the game.[19] Competitions are vital to driving both participation and revenue in rugby.

Rugby For Good has redefined how rugby can deliver impact in communities by shifting from a competition-focused economy to a socially-driven model. This innovative approach sustains the sport and drives positive social change, creating a new, sustainable Rugby funding model that supports both the game and broader societal outcomes. It represents a blueprint for how sport can transform itself into a force for economic and social good.

2.3 INFORMATION ABOUT THE PROPOSAL

2.3.1 Scope of Works

The proposal aims to shift from traditional funding sources to a broader *Rugby For Good* model implementation.

2.3.2 Proposal Exclusions

This proposal excludes the following programs as part of *Rugby For Good*:

- Rugby In the Park,
- Kick Start – Youth Justice Program & Rehab Centre, and
- All Abilities Rugby Program.

2.4 PROJECTED COSTS

2.4.1 Projected Capital Costs

Project capital costs for the project would be minimal as it primarily involves the administration of the programs.

2.4.2 Projected Ongoing Costs

Table 4 illustrates the ongoing costs for the funding of the *Rugby For Good* programs.

[18] The seven vs. seven format, known as Rugby Sevens, is a streamlined version of rugby union with each team fielding seven players instead of the traditional 15. This format emphasises speed, agility, and quick transitions, making it ideal for tournaments and international events like the Olympics.
[19] Wayne Street Ryan

Table 4. Program Costs

Program	Description
Tackle Life	Each program, lasting between 20 and 30 weeks, costs $18,000 to run. Additionally, the program employs school-based apprentices at a cost of $8,000 each. Since 2020, grant funding has ranged from $23,000 to $800,000, averaging $384,600 per year. On an annual basis, Aboriginal partnerships funding program contributed to the majority of the funding. Other major funding sources to date include NSW Health, Childfund and Multicultural NSW. For this analysis, this average grant amount is assumed to remain constant throughout the assessment period.
Holiday Break	The Holiday Break Camps are one-day programs with an average cost of $7,000 per camp. Funding received for this program includes $50,000, along with an additional $800,000 split across two years ($350,000 for the first year and $450,000 for the second), resulting in an annual average of $425,000 for the two-year period. This average is also assumed to remain constant throughout the analysis period.
Get Talkin'	Each session of the Start Talkin', Get Talkin' & Keep Talkin' program costs $3,000. As the program operates on available funding, most grants have ranged from $4,000 to $52,500, covering a few sessions at a time. However, for the Cost-Benefit Analysis (CBA), a grant of $150,000 from NSW's Mental Health Sports Fund was used, as it supports all three program components over a full year. This amount serves as an assumed scenario for annual funding throughout the analysis period.

Source: BGA work product based on NSW Positive Rugby Foundation data

2.5 COST-BENEFIT ANALYSIS

The CBA evaluated the costs and benefits of the proposed options (project cases) against the base case. This assessment considered not only the direct impact on the community but also broader indirect and non-market impacts on the community. Conducted in line with NSW Treasury Guidelines, the CBA utilised a 20-year analysis period, with future impacts discounted at a central rate of 5%. To test the robustness of the findings, sensitivity analyses were performed using social discount rates of 3% and 7%.

2.5.1 Base Case

The base case represents the status quo, serving as a projection of costs and benefits in the absence of *Rugby For Good*. The costs and benefits of all alternatives are measured relative to the base case, focusing on the incremental changes each option would bring.

In the base scenario, none of the NSW Positive Rugby Foundation programs are implemented, and no activities are available to individuals and the community. The foundation's objectives would not be met, and society would not benefit from the programs. Rugby would remain under the traditional funding model with limited funding growth.

2.5.2 Project Case – Implementation of Rugby NSW Programs

The Project Case involves implementing the *Rugby for Good* programs. Three programs (Start Talking & Get Talkin', Holiday Break Camps, and Tackle Life) were considered for the analysis, and thus, a CBA was completed for each one.

2.6 KEY BENEFIT ASSUMPTIONS

Annual participation estimates: Total participation used in the above calculations and assumptions were derived from provided outcomes achieved to date, summarised in Table 5. Similarly, to cost estimates, participation estimates were assumed to be constant during the analysis period, which could produce more conservative estimates.

Table 5. Annual Participation Estimates

Program	Description
Tackle Life	From 2020 to 2024, *Tackle Life* produced an average of 562 graduates per year. This figure only accounts for the year 10 high school graduates themselves, not the additional primary school children who benefit once these graduates are equipped to coach. This multiplier effect significantly broadens the program's impact. For example, as the program has expanded, a tackle life graduate can coach up to four primary school students. However, for the CBA a more conservative number of two was used, which adds to approximately 1,124 primary school students who benefit from the program.
Holiday Break	Over the two-year duration of the *Holiday Break* program, a total of 3,760 people attended, averaging 1,880 attendees per year. This program is aimed towards for those between 12 and 24 years old.
Get Talkin'	The $150,000 funding used as an annual cost estimate, supported an attendance of 702 people.

Source: BGA work product based on NSW Positive Rugby Foundation data

Improved physical health: Participation in the Holiday Break Camps and Tackle Life programs enhances participants' physical fitness and overall health. These programs promote regular physical activity and rugby involvement, which contribute to improved fitness, mental health, healthier communities, and potential healthcare cost savings. Herons et al. (2015) estimated the monthly willingness to pay for improved physical health of socially vulnerable groups from community-based programs. Annualised and converted to 2024 AUD, the value is $237 per person per year. Since a Holiday Break Camp occurs in a day, to avoid overestimation of the benefit, this value was adjusted for the 127 camps completed over the two years.

In the 2020 Rugby Benefits Participation report, almost all (97%) participants of rugby indicated improvements in health and well-being, both physically and mentally. Additionally, Ausplay's 2023 Injury from sport and physical activity in Australia, showed that 26% of people who participated in outdoor sports got injured at some point during the year. Therefore, this benefit was applied to the 74% who didn't get injured; the remaining 26% was counted towards an avoided healthcare cost benefit to avoid double counting.

Avoided net health care costs: Benefit relates to the relative risk reduction from injury or disease associated with being active physically for people between 16 and 64 years old. Davis et al. (2024)

estimated the annual net cost savings for this target population at $557 per participant per year. This benefit was only applied in the Tackle Life program since each individual program runs for multiple months, aiding youth to be active physically on a continuous basis.

Improved Mental Health: Mental health workshops within these programs are expected to reduce anxiety and depression among participants and increase awareness and willingness to seek treatment. Physical activity, a core component of rugby, also boosts mental health by releasing endorphins, which help prevent mental health disorders. The value of this benefit is estimated through a willingness-to-pay study on avoiding depression[20] which found that individuals would pay approximately 6% of their annual income for mental health benefits. For young participants, the median personal income in NSW for those aged 15-24 ($28,827 in 2021 at 6% is $1,730) was used to quantify this benefit, as improved mental health awareness provides lifelong advantages.

According to the *National Study of Mental Health and Wellbeing (2020-2022)* by the ABS, 39% of individuals aged 16-24 experience a mental disorder within a 12-month period. This mental health benefit is also applied to 97% of participants, resulting in an estimated annual benefit of $745 per person. The *Rugby For Good* programs focus on mental health awareness and suicide prevention, reducing stigma, enhancing mental health, and fostering personal development through team-based participation.

Reduced Youth Crime: Rugby programs, particularly the *Tackle Life* initiative, offer meaningful activities for disadvantaged youth, which can contribute to lowering crime rates.[21] These programs specifically target communities with high crime rates by fostering a sense of belonging and promoting pro-social behaviours.

Most crimes committed by youth in NSW are minor offences that only require supervision. According to the Australian Institute of Health and Welfare, in 2022-23 the crime rate of people aged 10 to 17 was 28.3 cases per 10,000, the median length of days per supervision was 6, while the average days in a year was 149. This highlights the potential cost savings associated with reduced youth crime through engagement in programs like Tackle Life. According to Youth Justice in NSW, in 2021-22, the average cost per day for a young person to be supervised in the community was $293.15. In 2022-23. Foster et al. (2004) estimated that better health services reduce the risk of juvenile justice involvement by 31%.

Reduced Suicidal Tendencies: According to the *National Study of Mental Health and Wellbeing (2020-2022)* study by the ABS, 5% of people between 16 and 34 years old indicated having suicidal thoughts and behaviours in the 12 months leading up to the survey. The Start Talkin' & Get Talkin' program provide suicide prevention workshops aimed at reducing these risks by raising awareness and offering strategies to prevent suicide. Survey results from the Get Talkin' program at Port Macquarie and Coffs were used as guides on the effectiveness of the programs. Results showed that 46% and 70% of respondents wouldn't feel like they needed to go through it alone in case they have mental problems, respectively. These statistics were used to estimate the number of participants benefiting from the program, highlighting its positive impact on mental health awareness and support.

[20] Eaton & Hunt, A., 2024

[21] Australian Institute of Criminology. 2000. Crime Prevention Through Sport and Physical Activity.

Enhanced Employment: *Rugby For Good* programs enhance employability by increasing school engagement and providing development opportunities, making participants more likely to attend school and become employable. These initiatives also create job opportunities for those involved in delivering the programs, including school apprentices. Disadvantaged groups, particularly First Nations Australians, are expected to benefit significantly from these employment opportunities. Currently, the three programs employ 10 full-time staff, 3 part-time staff, 51 casual workers, and 12 Indigenous apprentices (NSW Positive Rugby Foundation, 2024).

In the 2020 Rugby Benefits participation report, 46% of respondents saw better employment outcomes as a result of rugby participation. To quantify this benefit for each participant, the NSW personal annual median income for people aged 15 to 24 ($32,986 in 2024 dollars) was multiplied by each unemployment rate (general population and First Nations people). The unemployment rate adjustment in the calculations was made to avoid overestimation.

Increase Education Attainment: One of the goals of the *Rugby For Good* programs is to reduce the risk of students dropping out from school early as well as improving school attendance. Lamb and Huo (2017) estimated that 12% of the 19-year-old population in Australia left school before completing Year 12 and were likely to never return to school. Owen et al. (2024) found that Australian children participating in team sports were 1.54 times more likely to graduate high school compared to non-participants. Applying this adjusted odds ratio (1.54) to the baseline dropout odds (7.3) yields an improved graduation probability of 92%, representing a 4% increase in graduation rates for program participants.

Lamb and Huo (2017) also estimated the fiscal cost[22] of early school dropouts at $8,300 per person annually (2014 dollars), starting at age 19 and continuing throughout their working life. This benefit is quantified as the avoided cost of school dropouts for program participants, with Year 10 students assumed to be 16 years old and a midpoint age of 10 used for primary school students. The analysis captures the long-term economic benefits of improved educational outcomes driven by the Tackle Life program.

2.7 DISCUSSION OF RESULTS

Table 6 summarises the CBA results for each program relative to the base case at a 5% discount rate over the 20-year analysis period. For this analysis, it was assumed that costs would accrue throughout the period, while benefits would begin after the first year. Based on quantitative metrics, all three programs show a Benefit-Cost Ratio (BCR) greater than one. Positive net benefits (BCR >1) mean that the programs are expected to improve society's welfare since the benefits outweigh the costs.

[22] Cost includes loss of tax payments, Medicare and other government health expenditures and welfare programs. Future lost earnings and criminal justice expenditures were excluded to avoid double counting with other benefits in the CBA.

Table 6. Cost Benefit Analysis Results, Relative to the base case and 5% discount rate

Costs	Tackle Life	Holiday Break	Get Talkin'
Total Grant Funding costs	$4,792,966	$5,290,208	$1,869,332
Benefits			
Improved physical health	$3,404,596	$59,785	-
Improved mental health	$14,454,707	$16,117,941	$5,880,082
Avoided healthcare costs	$3,501,796	-	-
Reduced suicidal tendencies	-	-	$904,269
Reduced crime rate	$794,069	-	-
Enhanced Employability	$1,227,827	$409,276	-
Avoided fiscal costs due to higher graduation rates (High school + primary students)	$4,319,221	-	-
Benefit Total	$27,702,215	$16,587,001	$6,784,351
Net Benefit	$22,909,249	$11,296,793	$4,915,019
Benefit-Cost Ratio (BCR)	5.78	*3.14*	*3.63*

Source: BGA work product

The Tackle Life program, which is the more comprehensive of the three programs, is expected to achieve net benefits of $23 million, with a BCR of 5.78. Key benefits include improved physical and mental health, avoided healthcare costs and avoided costs from increased education attainment for the participants that go through the program. The Holiday Break and Get Talkin programs are expected to achieve net benefits of $11.3 million and $4.9 million, respectively. As expected, mental health improvements comprise the majority of their benefits. The BCRs of the two programs are 3.14 and 3.63, respectively, demonstrating strong returns to investment.

2.7.1 Sensitivity Analysis

The purpose of sensitivity analysis is to assess the robustness of the initiative by examining how changes in key assumptions and input variables affect the outcomes of the CBA. This provides an understanding of the potential variability from the central estimate results. For instance, improved mental health is a significant benefit in the CBAs. If these mental health benefits were reduced by half (meaning that they were overestimated) from the values presented in the previous section, the impact on the CBA outcomes would be minimal, as the Benefit-Cost Ratio (BCR) would remain above one for all three programs, indicating continued positive net benefits.

Participation Estimates

An additional key assumption is the number of participants in the programs. The Tackle Life program involves high school and primary students. If primary school students were excluded as beneficiaries

of the Tackle Life program and only high school participants were evaluated in the CBA, the BCR at 5% discount rate adjusts to 2.23. This demonstrates that even under reduced beneficiary scenarios, the program still delivers significant societal welfare improvements, underscoring the robustness of the analysis and the initiative's positive economic viability. On the other hand, if for every high school participant four primary school students benefit (which the Foundation has achieved at some locations), the BCR would rise to 9.33.

For the Holiday Break and Get Talkin programs, if participation estimates were half of those utilised in the CBA, the BCR at a 5% discount rate would drop to 1.61 and 1.81, respectively. Therefore, the programs still improve societal welfare under scenarios with significantly lower participation.

2.7.2 Social Discount Rate Sensitivity

Economic assessment was undertaken using a 5% annual real social discount rate for central estimates. To evaluate how varying discount rates, impact the outcome of the CBA, sensitivity tests were performed using a lower bound of 3% and an upper bound of 7% per annum (real), in accordance with the NSW Government Guide TBG23-08.

The sensitivity analysis in Table 7, Table 8, and Table 9 show that the BCR remains above one and the Net Present Value (NPV) remains positive across all tested discount rates (3%, 5%, and 7%). This indicates that the programs are expected to improve societal welfare even under more pessimistic scenarios represented by higher discount rates.

Table 7. Sensitivity Test of the BCR and Net Benefits to changes in the discount (Tackle Life)

Tackle Life	Discount Rate		
	3%	5%	7%
Net Benefits	$28,130,880	$22,909,249	$18,917,821
BCR	5.92	5.78	5.64

Source: BGA work product

Table 8. Sensitivity Test of the BCR and Net Benefits to changes in the discount (Holiday Break)

Holiday Break	Discount Rate		
	3%	5%	7%
Net Benefits	$13,718,101	$11,290,562	$9,417,912
BCR	3.17	3.13	3.09

Source: BGA work product

Table 9. Sensitivity Test of the BCR and Net Benefits to changes in the discount (Get Talkin)

Get Talkin'	Discount Rate		
	3%	5%	7%
Net Benefits	$5,965,482	$4,915,019	$4,104,553
BCR	3.67	3.63	3.58

Source: BGA work product

3 IMPLEMENTATION CASE

3.1 GOVERNANCE

NSW Positive Rugby Foundation will oversee the implementation of the *Rugby For Good* Programs. They will be responsible for sourcing funding from various funding sources and designing, planning, and implementing the programs. NSW Positive Rugby Foundation is responsible for communicating the results to stakeholders and implementing the programs. Government bodies and agencies provide funding for programs, which are an important source of funding. The clubs will be responsible for coordinating and assisting implementing the programs with NSW Positive Rugby Foundation. The employees paid to deliver the programs by NSW Positive Rugby Foundation are responsible for providing the programs.

3.2 KEY RISKS

The delivery of *Rugby For Good* programs is subject to a range of risks which could limit the implementation of the programs. Funding sources and donors could no longer provide funding for the programs. This report provides justification of the programs that supports funding to mitigate risks and ensure implementation of the programs. (Table 10)

Table 10. Key Proposal Risks

Risk	Proposed mitigation	Risk rating after mitigation		
		Consequence	Likelihood	Rating
Donors no longer provide funding for programs	Provide justification and evidence for funding programs. Regular communication with donors.	High	Low	Medium
Programs are not implemented	Suitable planning and governance arrangements for the projects	Medium	Low	Low
Insufficient staff due to turnover and illness	Rugby provides training and implements a recruitment strategy.	Medium	Low	Low
Lack of marketing and advertising causes low attendance for the program	Preparing a marketing and advertising plan to increase engagement	Medium	Low	Low

Source: BGA work product

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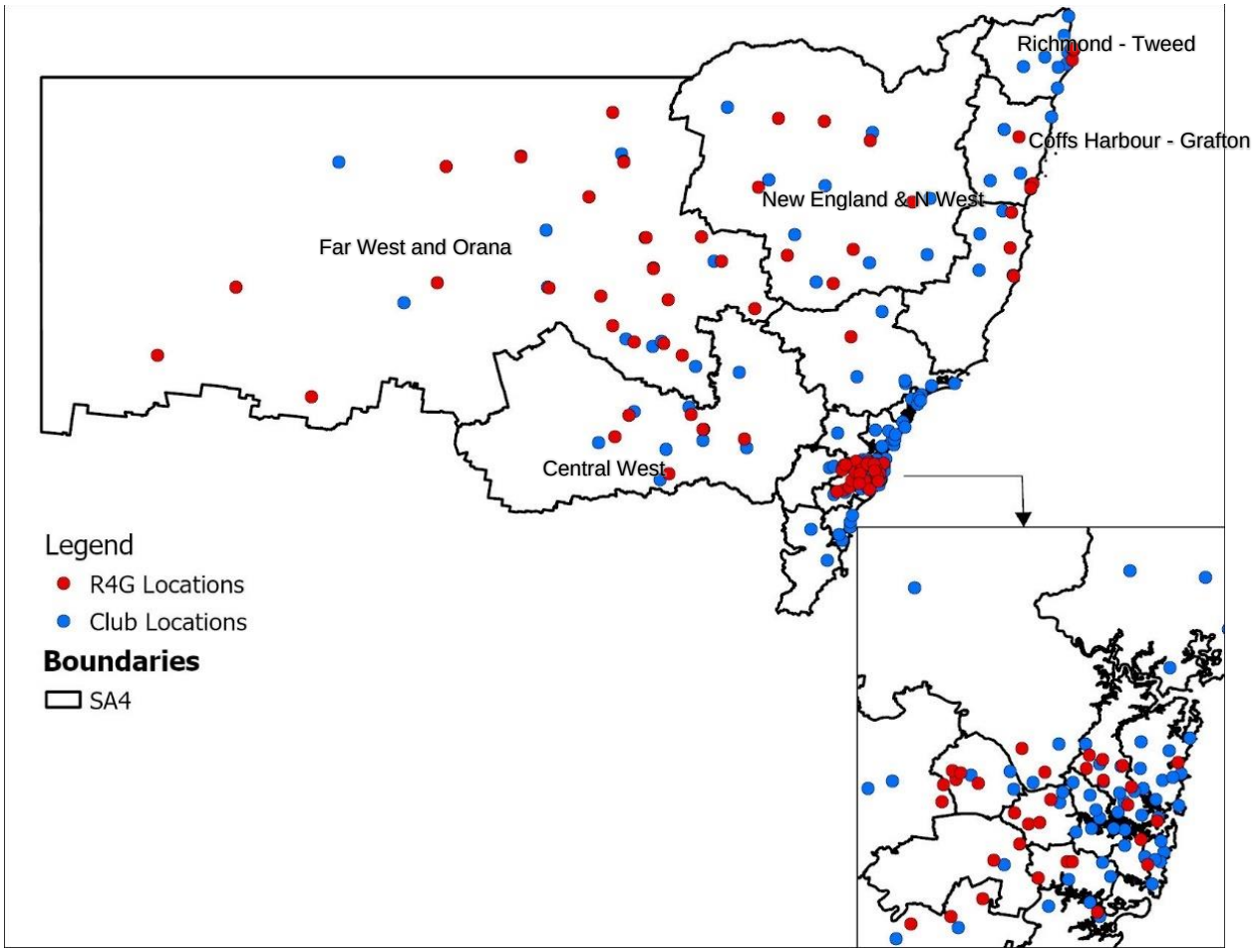
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4 APPENDIX: SOCIOECONOMIC PROFILE

The NSW Positive Rugby Foundation region includes much of northern, central and eastern NSW but is largely centred in Sydney, having the largest presence of league club locations in the state. Other key locations include Dubbo and Coffs Harbour, which act as hubs to service and support rugby league programs in surrounding areas. Several clubs are also dispersed in Newcastle, Central Coast, Wollongong, Maitland, Tweed Heads and Port Macquarie and rugby programs have been delivered in Far West and Orana, Mid North Coast, Illawarra, New England and the North West. Figure 11 highlights *Rugby For Good* (R4G) and club locations in NSW. Regions in NSW are grouped by statistical area fours (SA4) to represent labour markets and the functional areas of key cities.

Figure 9. Map of NSW Positive Rugby Foundation Region



Source: BGA work product based on NSW Positive Rugby Foundation data

Long-term NSW economic goals include a high standard of living for the population, a diversified economy, well-connected urban centres, innovative businesses and environmental preservation.[23] The NSW region contains significant railway, airport and road infrastructure enabling domestic and international transport. In particular, Sydney is a global metropolitan city acting as a vast employment and industrial hub. Other cities, such as Dubbo, Wollongong and Coffs Harbour act as regional hubs to maintain and connect regional communities as well as key industries and services. Such industries

[23] NSW Treasury 2019 NSW 2040 Economic Blueprint

include tourism and retail in the Mid-Northern Coast or healthcare and education in the Illawarra, Far West and Orana. In New England and Northern West, the economy is dominated by primary industry, healthcare and local government.[24]

The region boasts diversity in landscapes. Deserts, plains, rainforests, forests and wooded grasslands support the state's biodiversity and a wide range of agricultural industries. The region is also split by the Great Dividing Range, a mountainous barrier between the coast and inland, that prompts large differences in land usage, depending on topography.

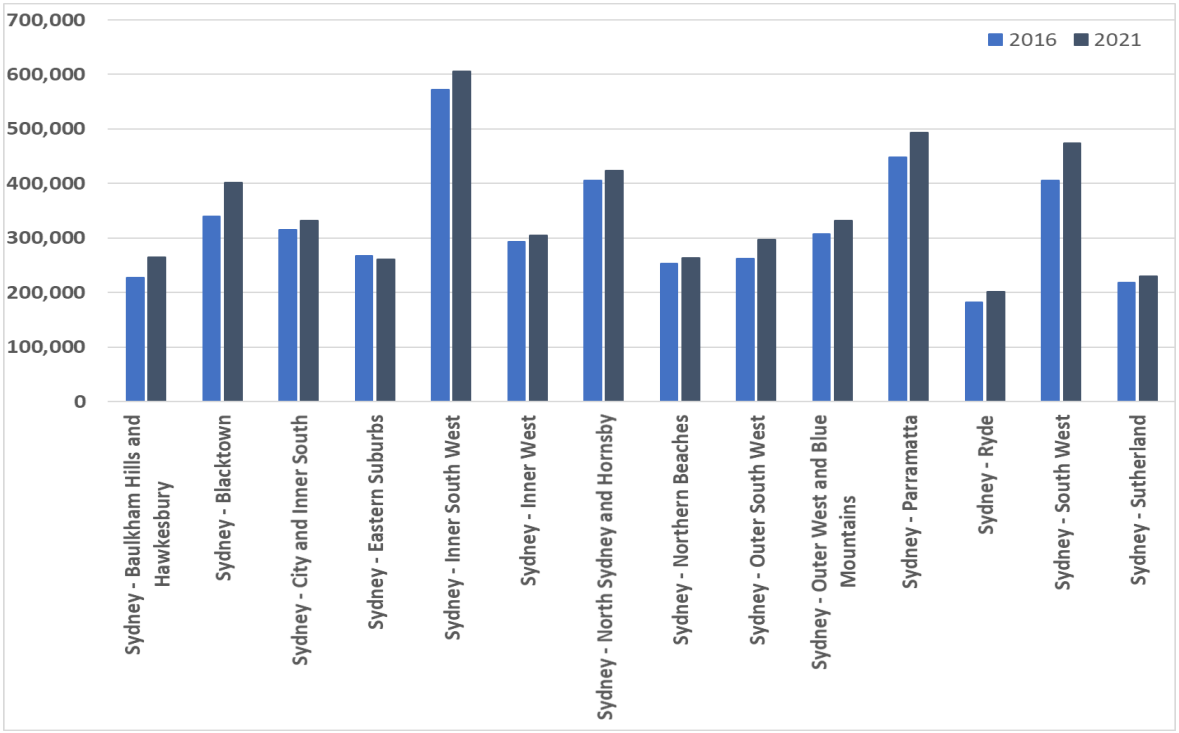
4.1 POPULATION

Population and population growth are important indicators of the viability and effectiveness of sporting programs. Based on national census data from the Australian Bureau of Statistics, from 2016 to 2021, the population has grown across all localities in which NSW Positive Rugby Foundation operates. The collective NSW Positive Rugby Foundation region grew from 6,990,604 in 2016 to 7,534,761 in 2021 but was highest in Sydney and coastal regional centres. The population is also projected to continue increasing until 2041, driven largely by Sydney, Dubbo, Tamworth and key centres along the NSW coast.[25] The majority of the population increase is expected to centre in Greater Sydney, driven by net overseas migration, while residents are projected to marginally decline in Western NSW, driven by an older population and negative internal migration.

As of 2021, most people living in the Rugby NSW region are concentrated in Greater Sydney, home to 5,231,147. This is followed by Newcastle at 390,519 and Wollongong at 129,912. Figure 12 represents the resident population of Greater Sydney broken down by localities in both 2016 and 2021. The Inner South West houses the highest number of people at 600,000 compared to the lowest, Ryde, which houses only 200,000. Further, all localities grew over the past 5 years, except for the Eastern Suburbs. This suggests that investment in Greater Sydney is likely to benefit a large number of people, providing value for money. Further, Sydney is characterised by high cultural diversity, particularly Western Sydney, with a large proportion of people born overseas.

[24] ABS 2021 Census
[25] NSW Planning 2022 Population Projections

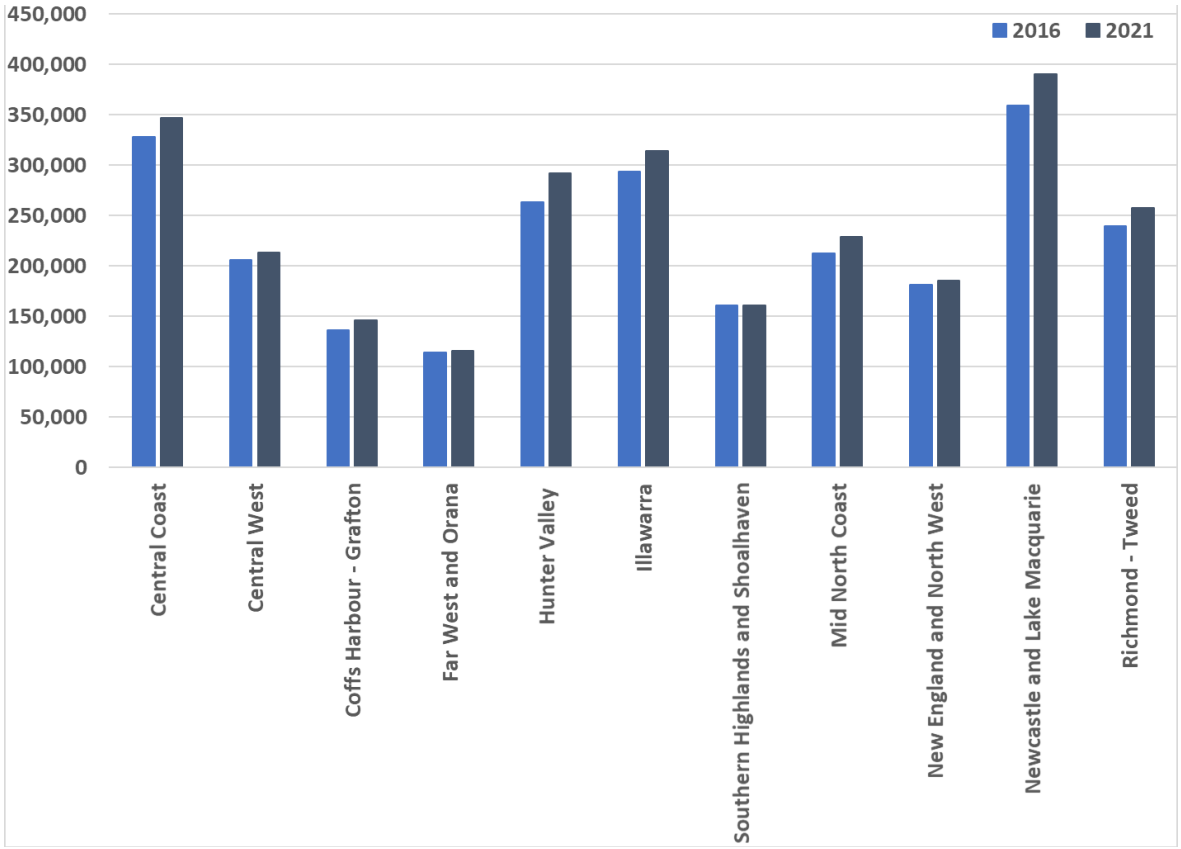
Figure 10. Estimated Resident Population 2016 and 2021 Greater Sydney



Source: BGA work product and Australian Bureau of Statistics (ABS), Census 2021.

Figure 13 breaks down the 2016 and 2021 population of regional areas under Rugby NSW. In 2021, the Far West and Orana regions recorded the lowest population at 115,566, characterized by low population density and smaller population centres. This situation presents challenges in delivering services, sporting activities, and programs. In contrast, Newcastle and Lake Macquarie boast a combined population of approximately 390,000, reflecting a high population density. Meanwhile, the Central Coast, with around 350,000 residents, has a more dispersed population. Both Newcastle and Lake Macquarie represent significant opportunities for high returns on investment.

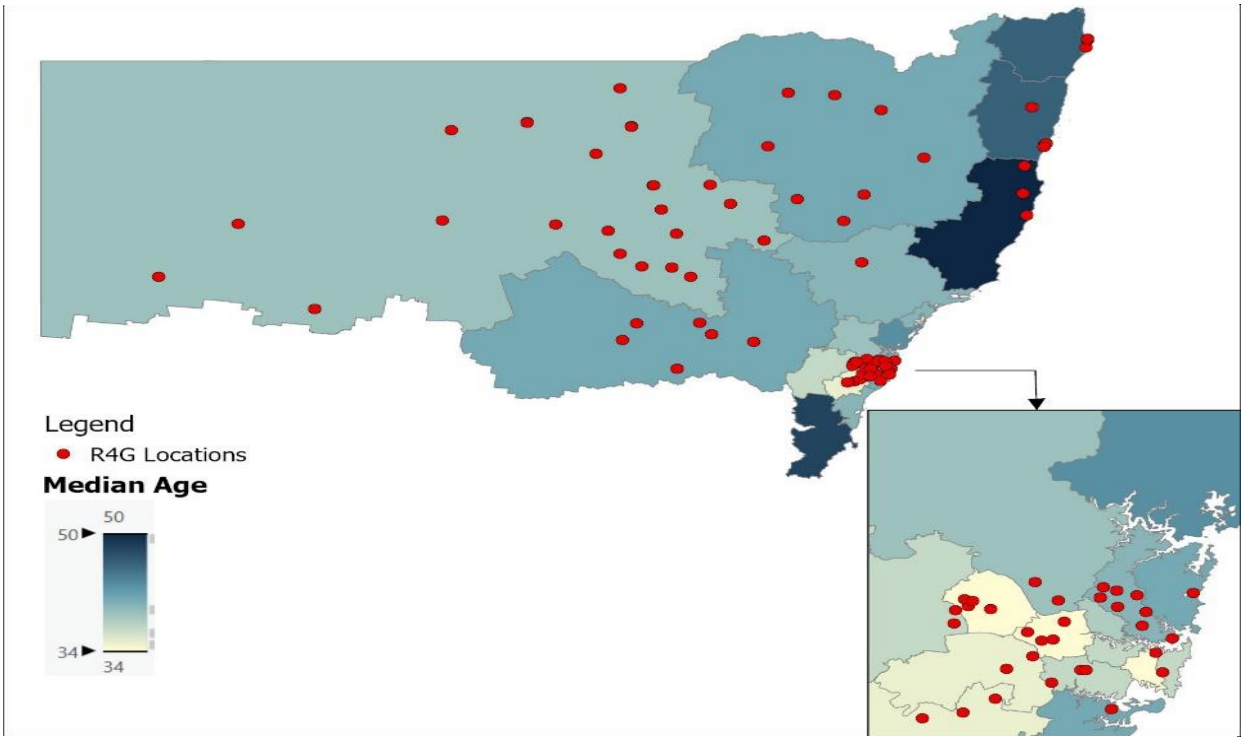
Figure 11. Estimated Resident Population 2016 and 2021 Regional areas



Source: BGA work product and Australian Bureau of Statistics (ABS), Census 2021.

Figure 14 illustrates the median age by Statistical Area Level 4 (SA4), serving as an essential indicator of the population's age structure and the overall aging trends. Regions such as the Mid-North Coast and Richmond Tweed have an older demographic, while Western and Central Sydney are home to a younger population. The figure further highlights that areas like Illawarra, Mid North Coast, Coffs Harbour - Grafton, and Richmond Tweed exhibit older age structures. Regions with higher median ages tend to have lower participation rates in sports due to a more senior and less active population.

Figure 12. Median Age (2021)



Source: BGA work product and Australian Bureau of Statistics (ABS), Census 2021.

4.2 HOUSING

The majority of the region has experienced housing availability challenges since 2018, with the market tightening significantly since then[26]. Average residential vacancy rates in NSW remain low at 0.9%, however, the entire state, particularly Sydney is facing challenges in rental affordability. In 2023, Sydney and NSW were deemed moderately unaffordable based on the rental affordability index, with residents spending approximately 29% of their income on rent.[27] This indicates that NSW rentals are the second least affordable in the country, behind Queensland where 30% of income is spent on rent.

Between October 2019 and October 2024, the median asking house price in Sydney increased 39% from $1,067,840 to $1,492.978[28]. The house price to income ratio for Sydney is 13.8[29], higher than the NSW benchmark. The rest of the region has lower prices and properties are more affordable. However, there are still housing availability issues and affordability has deteriorated over time.

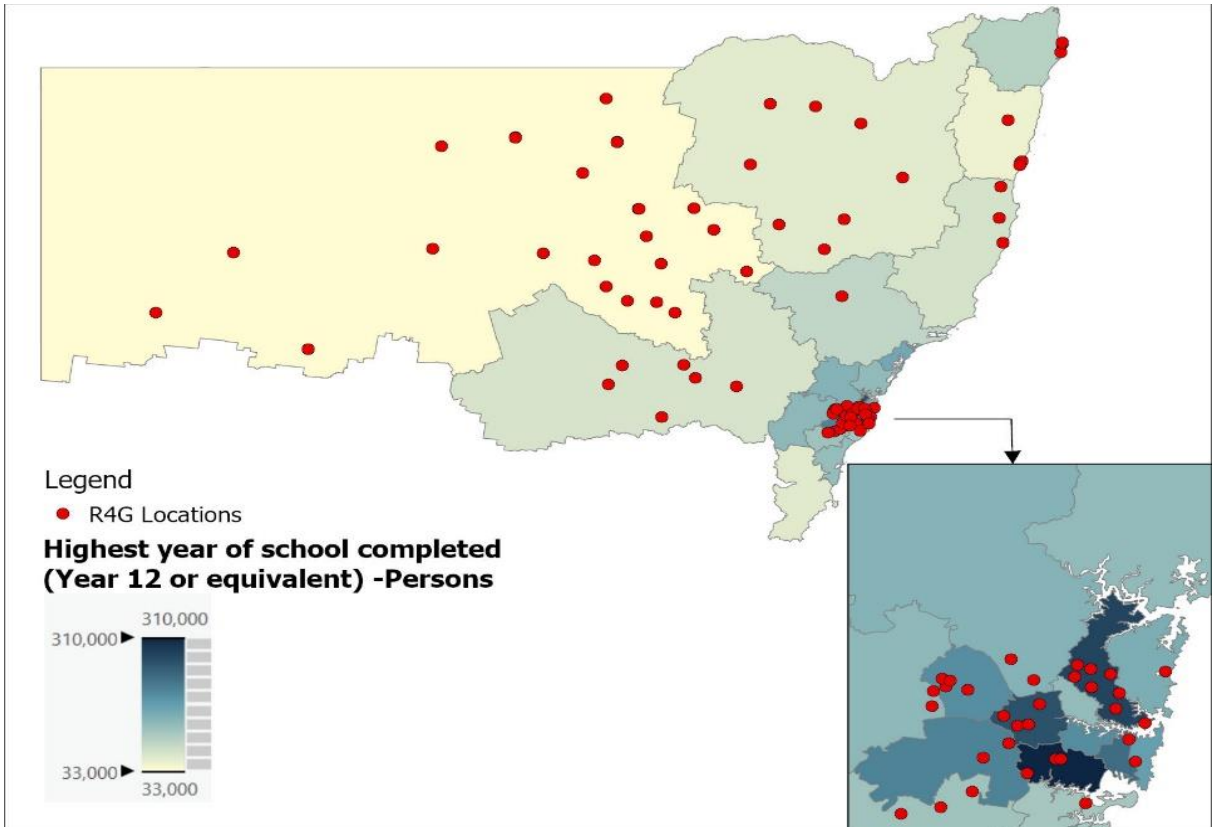
The rental and housing affordability issues present in NSW and Sydney are driven by high demand and tight supply.[30] Demand has been driven by a rising population, as discussed in Section 4.1: Population, and this is only projected to worsen with time. This emphasises constraints in supply, such as a need for dwelling construction workers and bottlenecks in residential housing approvals.

[26] NSW Planning 2024 Current housing pressures
[27] SGS Economics and Planning 2022, Rental Affordability Index
[28] SQM Research 2024
[29] Demographia International Housing Affordability 2024 Report
[30] NSW Planning 2021 Regional Housing Taskforce Findings Report

4.3 EDUCATION

Levels of education and qualifications can inform the degree to which socio-economic areas can adapt to new economic conditions, as well as the influence of policy on behaviour. The proportion of students completing high school in Australia has been on the rise from 2016 to 2021. Far West and Orana contain the lowest number of people completing year 12, largely due to a lower population. On the other hand, Sydney has the highest quantity of people completing year 12 and therefore higher educational outcomes, a trend amongst all major cities in Australia. Figure 15 displays the number of people completing year 12 or equivalent across NSW. A general trend indicates that more people complete high school closer to Sydney, however, this is likely driven by population differences. This trend is supported by the proportion of students who complete year 12 in Greater Sydney being higher at 64.5% than in regional areas.

Figure 13. People who completed year 12 or equivalent 2021



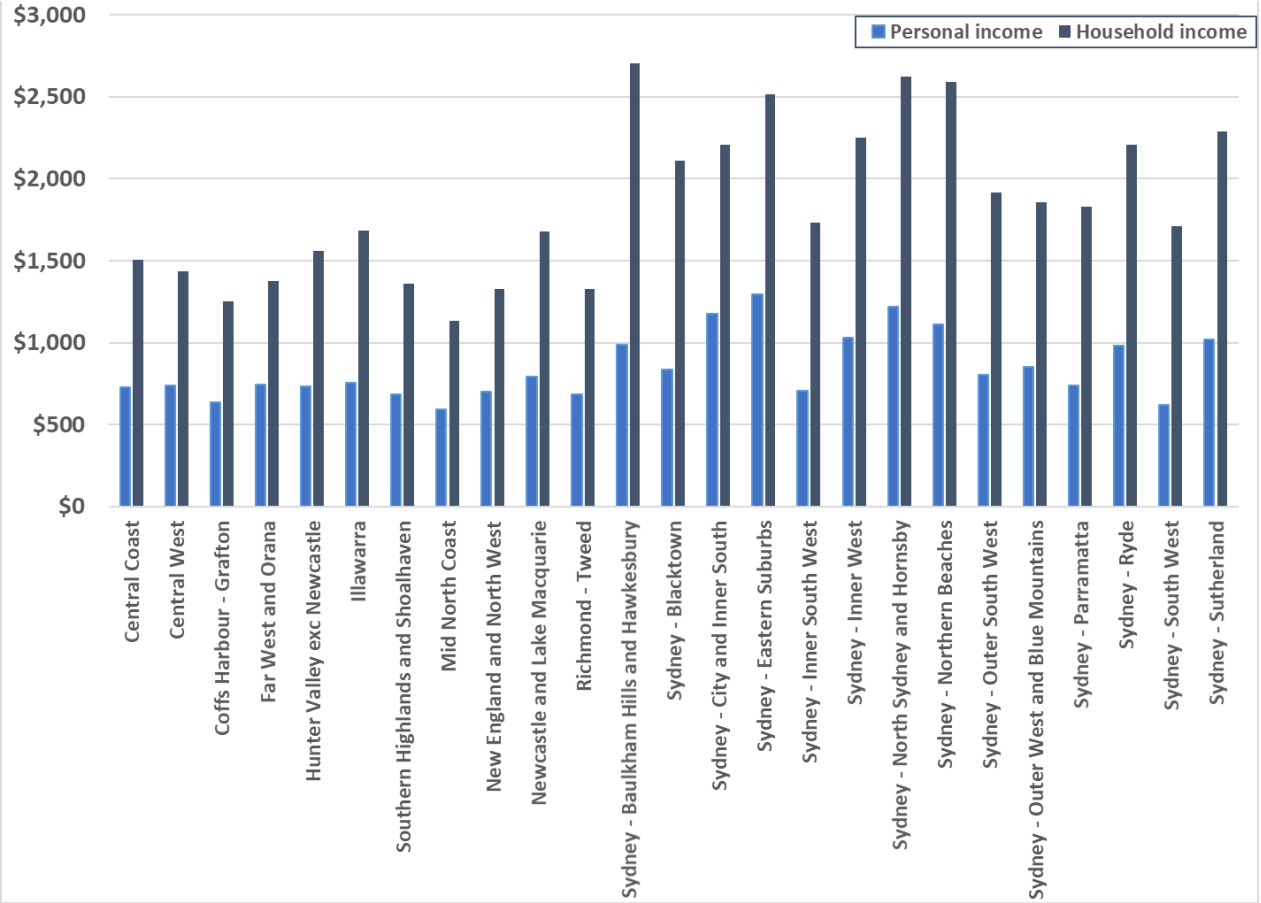
Source: BGA work product and Australian Bureau of Statistics (ABS), Census 2021.

4.4 INCOME

Household income is calculated by summating the personal incomes reported by all household members aged 15 years and over and is collected via the Survey of Income and Housing. Income data is reported in ranges, so the median for each range is used in calculations. When combined with other data, such as home ownership, mortgage/rent repayments, education and employment data, household income provides insights for social and community planning and development.

Figure 16 highlights that personal and household incomes are highest in Eastern, Northern and North-Western Sydney, and are lowest in the Mid-North Coast and Coffs Harbour - Grafton. Incomes in other areas such as Wollongong and Western NSW are slightly below the NSW and national average but are higher than the Australian median, indicating that while income is lower in some areas of NSW, these areas still compare quite well to the rest of Australia. Nominal income has also been steadily rising over time as both household and personal median incomes in NSW have increased by 22% from 2016 to 2021.[31]

Figure 14. Weekly Household and Personal Income



Source: BGA work product Australian Bureau of Statistics (ABS), Census 2021.

4.5 INDUSTRY

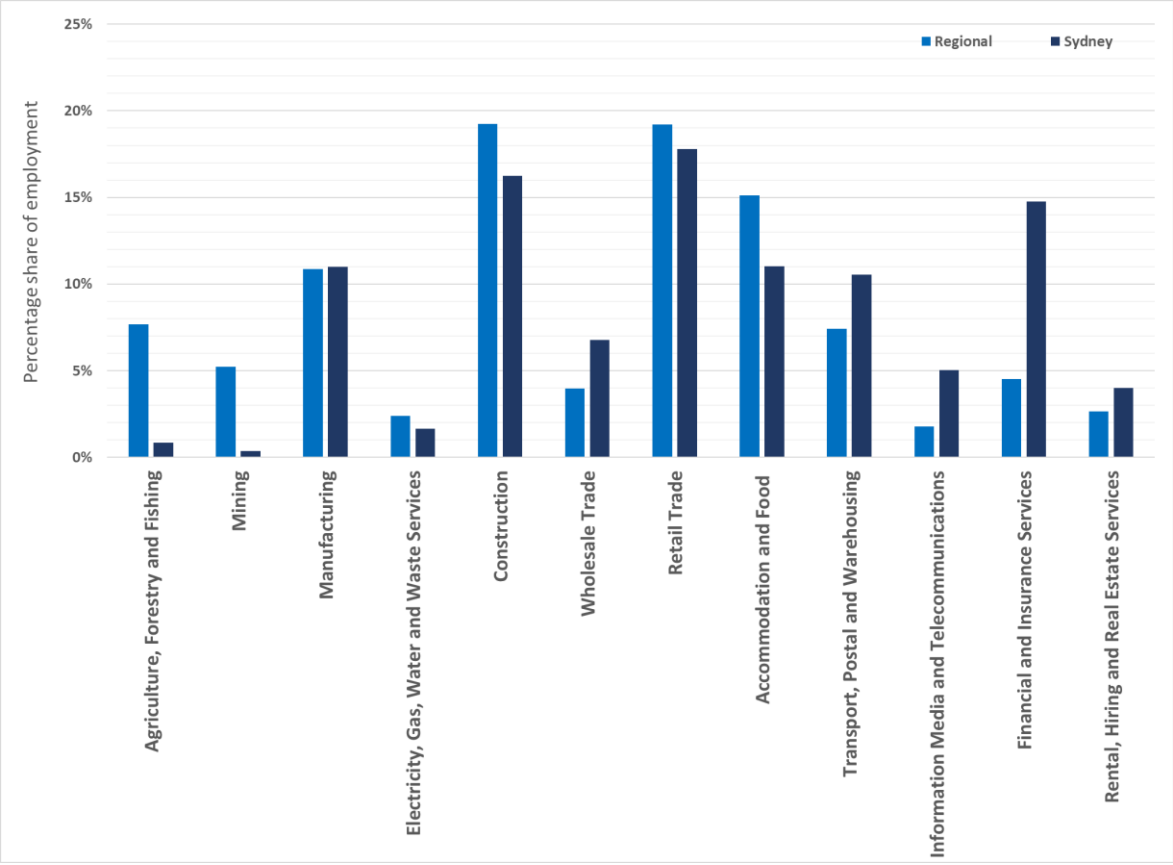
NSW has large and diversified industries with strong investment, economic growth and opportunities. Recently economic output in 2022-23 has been driven by transport, postal and warehousing as well as accommodation and food services.[32] Sydney acts as a hub for economic activity, contributing to the vast majority of NSW's output and providing a significant source of employment, especially in services industries. Comparatively, regional areas make a smaller contribution to economic output due to lower population and relatively smaller industries.

[31] Snapshot of New South Wales, ABS
[32] ABS 2024 National Accounts

Over time, the NSW economy has shifted away from resource-intensive industries to service industries with the main industries being retail, construction, accommodation and food and manufacturing. Figure 17 breaks down industries of employment for regional NSW and Sydney in 2021, displaying industries by their percentage share of total employment in both areas. In Sydney, retail trade (18%), construction (16%) and financial services (15%) are the three most popular industries while in regional NSW it is construction (19%), retail (19%) and accommodation and food (15%). Rural and inland economies tend to be more dominated by agriculture and service industries, while Sydney displays a greater diversity or spread of employment across a variety of industries.

Sporting tourism in NSW also represents an opportunity for growth, given the large number of sporting events, competitions and facilities. In leveraging these assets, rugby is promoted and participation in sport is encouraged at all levels. Tourism is discussed in further detail in Section 4.7 Tourism.

Figure 15. Employment by Industry 2021



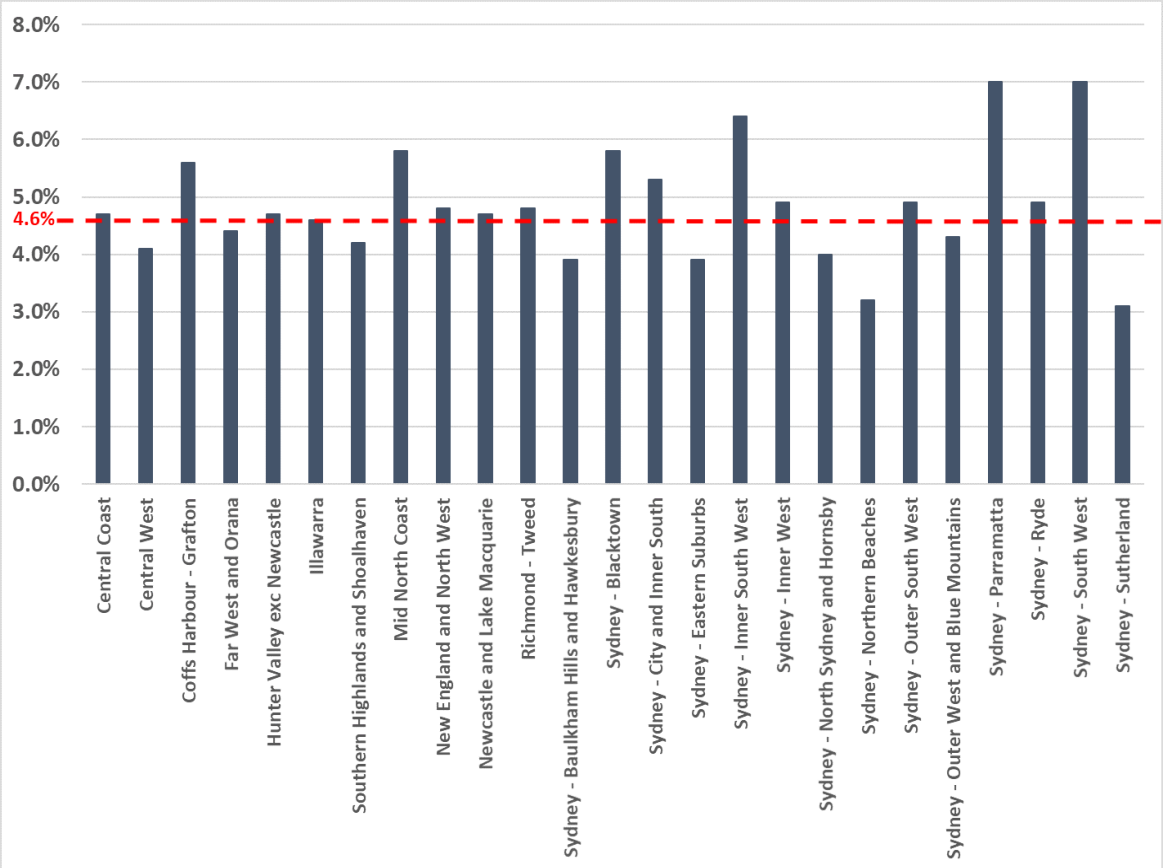
Source: BGA work product Australian Bureau of Statistics (ABS), Census 2021

4.6 UNEMPLOYMENT

Unemployment is a key indicator of health in labour markets, hence, Figure 18 provides a snapshot of 2021 unemployment rates in key regions. The highest rates of unemployment are in Paramatta and Sydney's South West (7%) which are both much higher than the NSW benchmark of 4.6%, indicated by a red line in the figure. Unemployment rates are lower in the northern beaches and Sutherland (both at 3.2%) and outside of Sydney, they are lowest in the southern highlands and Shoalhaven (4.2%) as well as the Central West (4.1%).

Unemployment in NSW has remained steady and low since its peak at 7.1% in July 2020, an effect of COVID-19.[33] Prior to this, average employment levels hovered between 4 and 5% but since recovering from the COVID-19 shock, the new stable levels are between 3 and 4%, based on estimates made by the ABS in 2024.

Figure 16. Unemployment Rate 2021



Source: BGA work product Australian Bureau of Statistics (ABS), Census 2021.

4.7 TOURISM

Tourism is a leading sector in NSW, having the largest share of visitors, nights and expenditure in the country. In the year ending June 2024, NSW welcomed 97.9 million domestic visitors, who spent $40.7 billion and stayed a total of 117 million nights.[34] International visitors totalled 3.7 million, spending $12.2 billion and staying 99.1 million nights.

Since last year, domestic and international visitors in NSW have decreased by 3.6% (about 4 million), however, the large increase in nights (18.3% or 34 million) has meant that tourist spending has climbed by an impressive 9% ($4.5 billion). This means sectors that are dependent on tourism, such as hospitality and accommodation sectors would likely have seen growth and that outcomes in the regional economy such as employment and income would have been boosted as a result of tourism. A large portion of visitation and spending is also concentrated in Greater Sydney, accounting for

[33] Labour Force Australia, ABS
[34] Destination NSW 2024, NSW Insights

51% of total tourist spending in NSW. This is reflective of Sydney's greater population, and increased number of businesses, attractions and experiences.

4.8 NSW BIODIVERSITY

New South Wales contains a range of environments, topographies and landscapes, lying in the temperate zone. Threats to the region's rich biodiversity and unique environments include inappropriate land use practices, invasive species, soil degradation (such as erosion, salinity, or land contamination), illegal dumping, littering, coastal erosion, infrastructure development and climate change. Over 1000 threatened species have become at risk of becoming extinct due to habitat loss, jeopardising the area's agricultural, social and environmental values[35]

[35] NSW Department of Environment 2024